

CONSUMER BEHAVIOUR

IS 2211 FUNDAMENTALS OF BUSINESS
ECONOMICS

Department of Interdisciplinary Studies

LEARNING OUTCOMES

- what is standard economic model
- what is value and utility
- what consumers can afford
- What the consumer wants
- What the consumer chooses
- Factors affecting consumer choices

INTRODUCTION

- Businesses cannot survive without some individual, group or other business buying their output.
- Therefore, for businesses, it is important to understand how consumers think and behave.

How do consumers make decisions about purchases?

THE STANDARD ECONOMIC MODEL

The Standard Economic Model (SEM) posits that individual are rational, self interested, and utility maximizing agents with complete information consistent preferences, and perfect foresight.

Key assumptions of the standard economic model include the following.

- Buyers are rational (they do the best they can, given their circumstances)
- More is preferred to less.
- Buyers seek to maximize their utility.
- Consumers act in self-interest and do not consider the utility of others.

VALUE AND UTILITY

- A key concept in consumer behaviour is **value**.
- Value is a **subjective** term.
- What one person or business thinks represents value is often different from that of some other individual or business.
- **Value** is the worth to an individual of owning an item represented by the satisfaction derived from its consumption.
- Economists used the term **utility** to refer to the satisfaction derived from consumption.

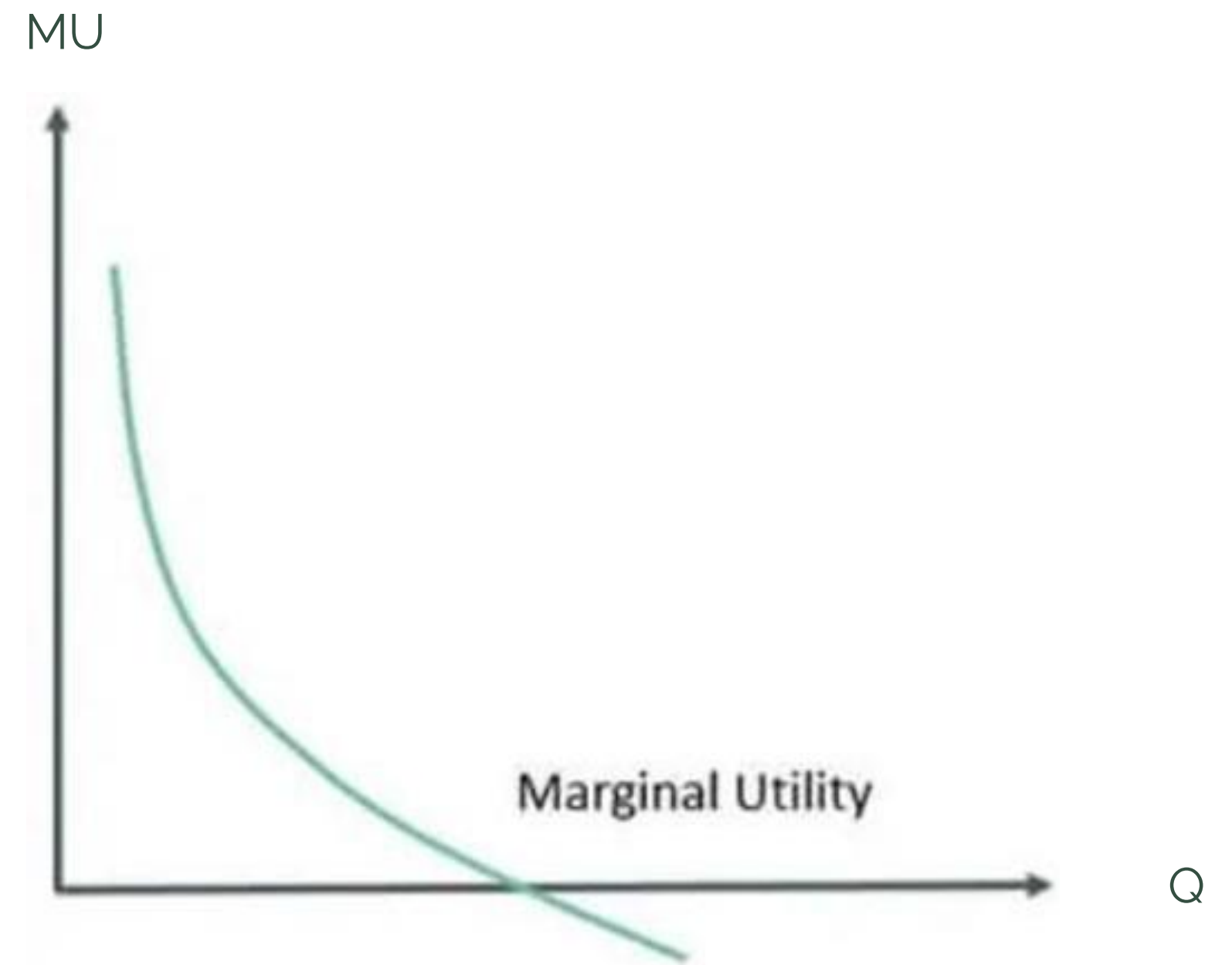
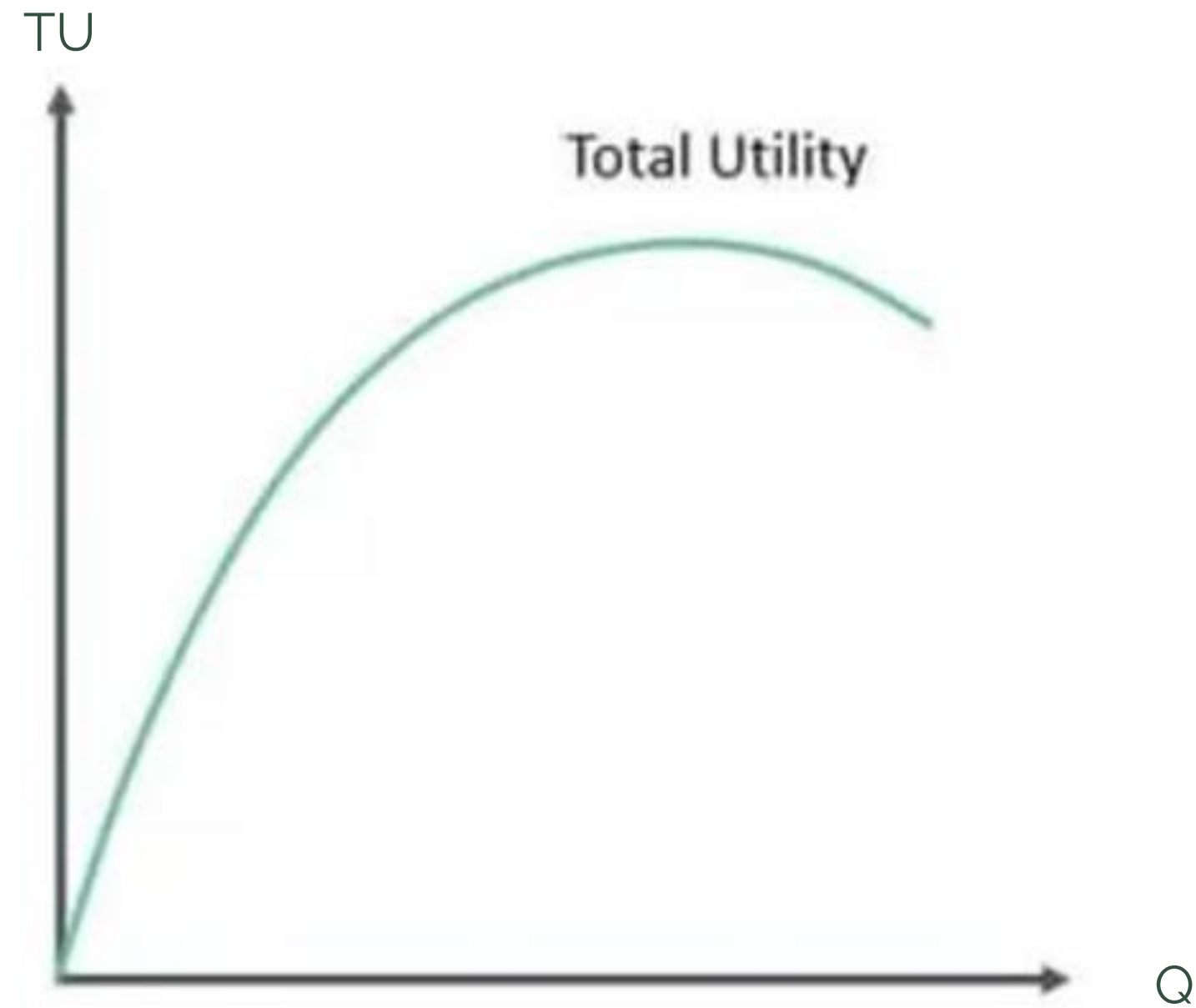
TOTAL AND MARGINAL UTILITY

- Total Utility:** The total satisfaction a consumer gains by consuming all the units of a good or service.

E.g.:- If a consumer consumed three glasses of orange juice, it is the total utility gained from all three glasses.

- Marginal Utility:** It is the additional utility gained by consuming one more unit of the product.

GRAPHICAL REPRESENTATION



DIMINISHING MARGINAL UTILITY

- **The Law of Diminishing Marginal Utility states that as the amount of a good consumed increases, the marginal utility of that good tends to diminish.**

- When someone goes on consuming the same good more and more, the satisfaction gained by consuming additional unit always less than previous consumption.

E.g.:- If you go on consuming 5 cones of ice-cream, the satisfaction you gain from the 5th one is always less than that of the 4th

DIMINISHING MARGINAL UTILITY (CONT)

Business Implications of Diminishing Marginal Utility

- Pricing Strategies:** As the marginal utility decreases with each additional unit consumed, businesses may implement volume discounts or bundle products to encourage larger purchases while maintaining profitability.
- Product Development:** Businesses can use knowledge of diminishing marginal utility to prioritize features or improvements in their products. Investing resources into enhancing aspects that provide higher marginal utility to customers can lead to greater satisfaction and increased demand.

DIMINISHING MARGINAL UTILITY (CONT)

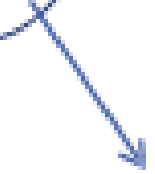
- Marketing and Promotion:** Businesses can tailor their marketing strategies to emphasize the unique value proposition of their products, highlighting features that provide higher marginal utility to customers (E.g. a smartphone manufacturer might highlight specific features, such as enhanced battery life or advanced camera capabilities, to communicate higher marginal utility to customers, thus distinguishing their product in a competitive market). Effective communication of these benefits can help differentiate products in competitive market.

EQUI-MARGINAL PRINCIPLE

$$\frac{MU_{good\ 1}}{P_1} = \frac{MU_{good\ 2}}{P_2}$$

- Consumers try to maximize the utility they gain with the limited resources they have.
- Thus, they try to maximize the marginal utility they get from each rupee spent.
- Hence, they choose a point where each product they consume will give same MU per rupee.

EQUI-MARGINAL PRINCIPLE

$$\frac{MU_{g1}}{P_1} > \frac{MU_{g2}}{P_2}$$


Will consumer
more


$$\frac{MU_{g1}}{P_1} = \frac{MU_{g2}}{P_2}$$

- If consumer finds he can get more marginal utility by consuming a product, he will consume that product by spending money.
- MU will decrease with each additional consumption.
- He will continue until MU per rupee of that product is equal to the MU per rupee of the other product.
- The common MU per rupee in all commodities at equilibrium is called *MU of Income*.

ACTIVITY 01

Rohan consumes both streaming services and video game subscriptions to fulfill his entertainment needs.

The following table shows the amount of utility he gets by daily usage of these two services:

Streaming Services		Video Game Subscriptions	
Quantity (hours)	Marginal Utility	Quantity (Games)	Marginal Utility
1	4000	1	2200
2	3200	2	2000
3	2400	3	1800
4	1600	4	1600

SUPPOSE STREAMING SERVICES COST RS. 200.00 PER HOUR, VIDEO GAME SUBSCRIPTIONS COST RS. 100.00 PER GAME, AND ROHAN HAS RS. 800.00 TO SPEND ON THESE SERVICES DAILY. WHAT COMBINATION OF STREAMING SERVICE HOUR(S) AND VIDEO GAME SUBSCRIPTION(S) WILL MAXIMIZE HIS UTILITY?

Streaming Services			Video Game Subscriptions		
Quantity (hours)	Marginal Utility	MU/P	Quantity (Games)	Marginal Utility	MU/P
1	4000	20	1	2200	22
2	3200	16	2	2000	20
3	2400	12	3	1800	18
4	1600	8	4	1600	16

Streaming 2hrs and Video Subscription 4 games

(cost $\rightarrow$ $400+400 = 800$)

($4*100+2*200 = 800$, It is within his daily budget that he can spend on entertainment. Therefore, this combination will maximize Rohan's utility.)

If we select Streaming 1hr and Video Subscription 2 games:

(cost $\rightarrow$ $200+200 = 400$)

This leaves Rs. 400 of the budget unspent, which could potentially increase total utility if allocated to more entertainment.

PARADOX OF VALUE

Isn't it odd that diamonds are more expensive than water?

• *Though water is essential for life and diamond is not, diamond is more expensive than water*

.

• *Reason is;*

• *MU of:*

Diamond > Water

• *Reason*

Diamond is more scarce resource than water.

PREFERENCES: WHAT THE CUSTOMERS WANT

Indifference?

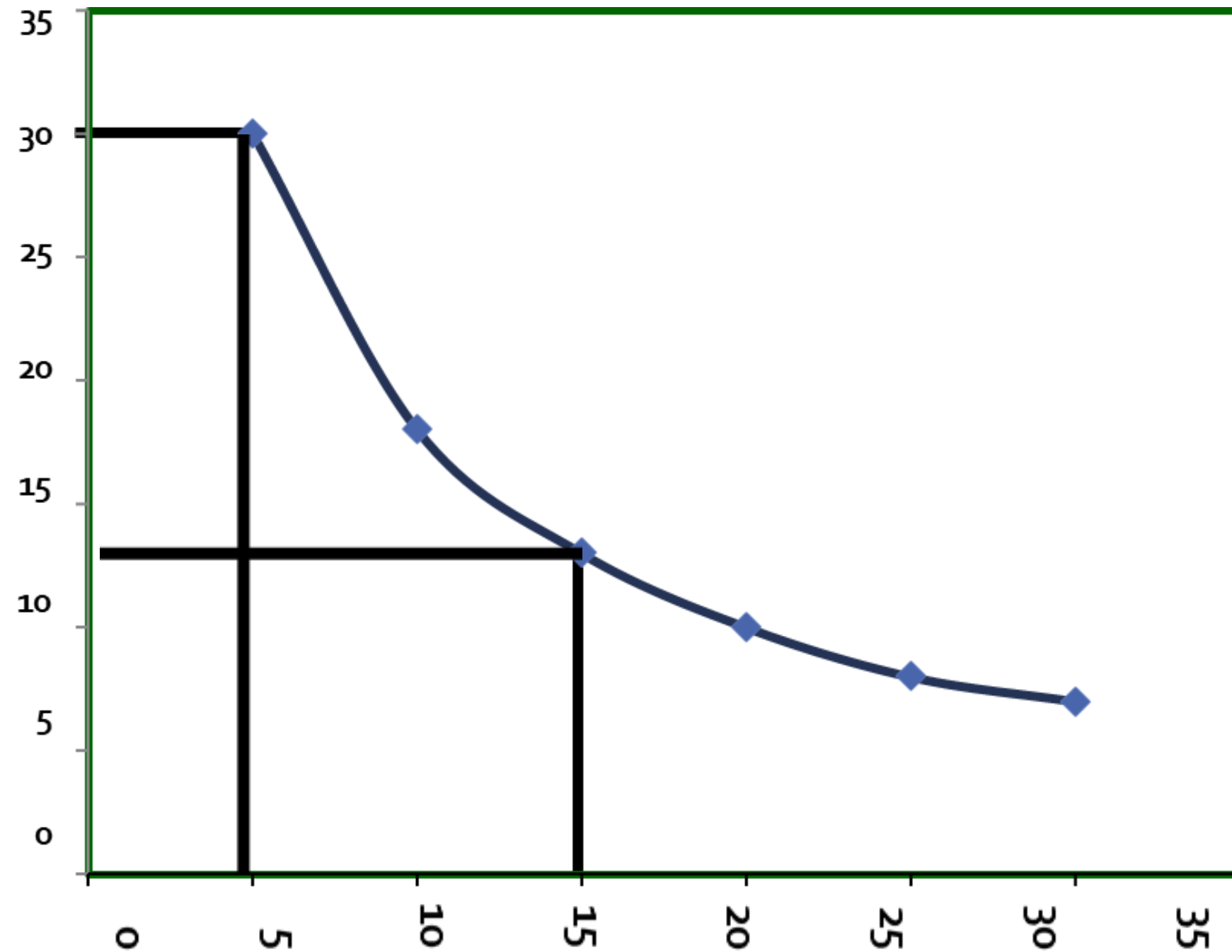
Consumers will perceive no difference among different options if those options provide the same level of satisfaction or utility

- *Assume that there are 3 products for which consumer is indifferent in consuming. i.e., consumer does not care having option A over option B or option C.*
- *Thus, they can have any of A, B, or C.*

INDIFFERENCE CURVE

- The graphical representation of different combinations of two baskets of products that the consumer is indifferent.

Quantity of Clothing



Quantity of Food

Basket	Clothing	Food
a	30	5
b	18	10
c	13	15
d	10	20
e	8	25
f	7	30

CHARACTERISTICS OF INDIFFERENCE CURVE

- Convex to the origin
- Downward sloping
- Cannot intersect each other
 - Indifference curves cannot cross.
 - If the curves crossed, it would mean that the same bundle of goods would offer two different levels of satisfaction at the same time.
 - If we allow that the consumer is indifferent to all points on both curves, then the consumer must not prefer more to less.

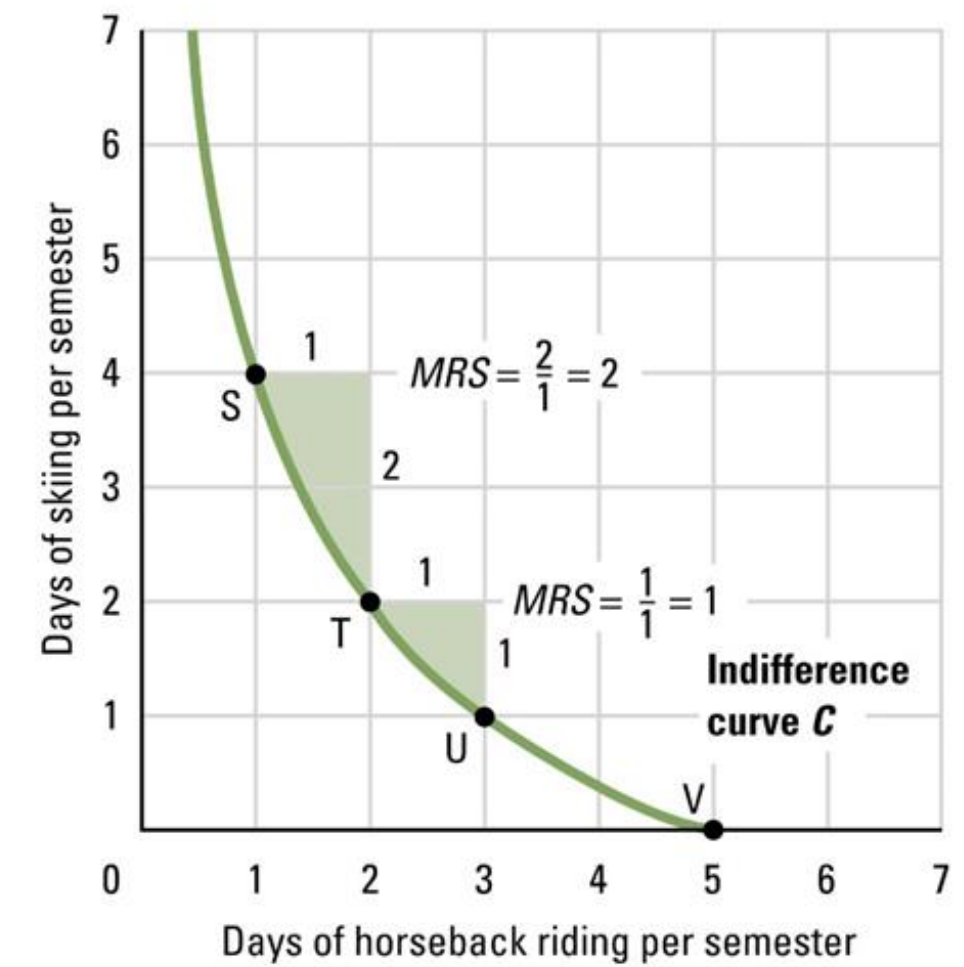
MARGINAL RATE OF SUBSTITUTION

The slope of an indifference curve represents the rate at which a consumer would be willing to exchange one good for another with indifference

That ratio is called the **Marginal Rate of Substitution**

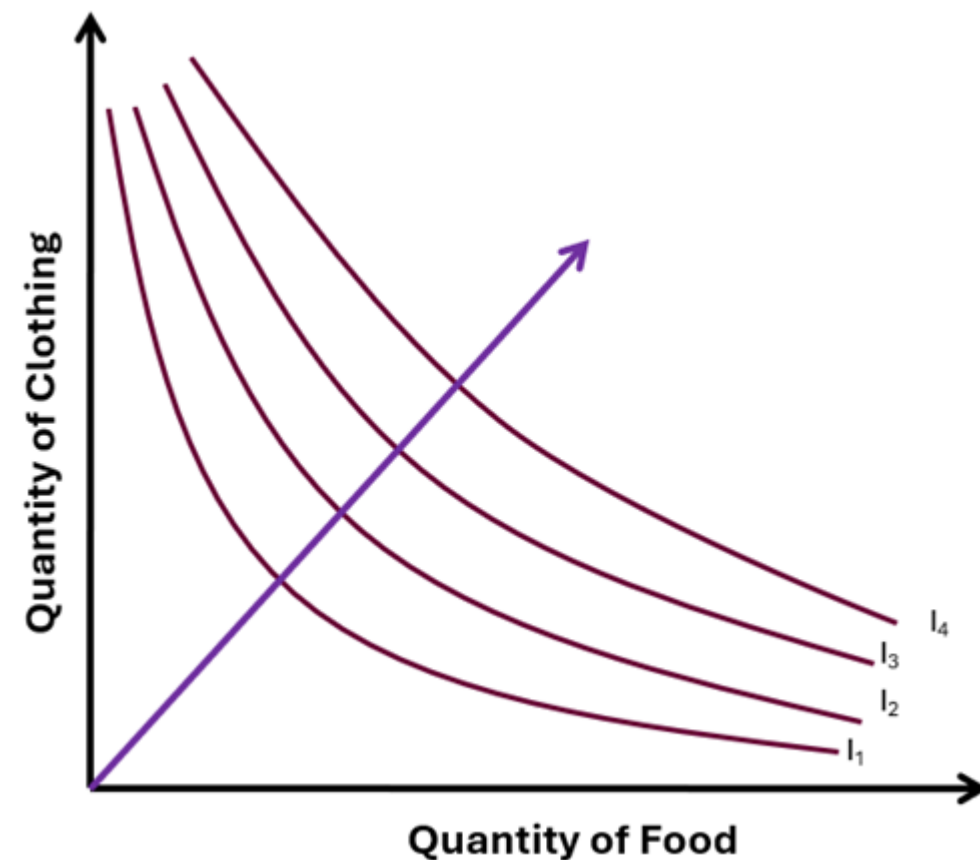
Diminishing Marginal Rate of Substitution

The less of the product that is presently being used by a consumer, the smaller the amount of it that the consumer will be willing to forgo in order to increase consumption of a second product.



INDIFFERENCE MAP

- It is not a single line that will show the consumer's indifference.
- There are different other combinations of products that of which the consumer is indifferent.
- Such set of indifference curves are called indifference map.
- There is no limit of indifference curves with a given set of products.



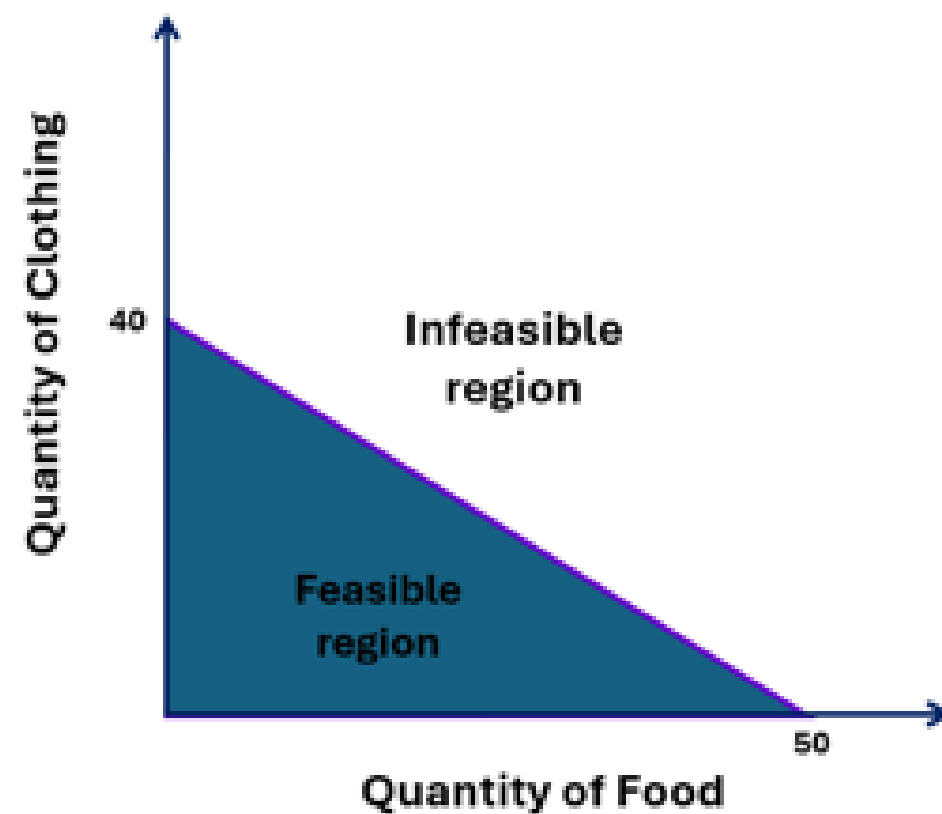
When the curve gets further from the origin, the level of satisfaction gained will be higher.

BUDGET CONSTRAINT

- This is also called as Budget line
- The indifference map only reveals the ordering of consumer preferences among bundles of goods. It tells us what the consumer is willing to buy.
- It does not tell us what the consumer is able to buy. It does not tell us anything about the consumer's buying power.
- The budget line shows all the combinations of goods that can be purchased with a given level Of income.

BUDGET CONSTRAINT (CONT'D.)

- The maximum quantities that the consumer can purchase with his/her income.
- It is the line connecting the maximum amount that can be consumed from each product if all money is spent on that product with the given price.
- Anywhere below the budget line is feasible, but not any point above it.



Suppose consumer's income is Rs 1000.

Unit cost of clothing and food are Rs. 25 and Rs. 20 respectively.

Maximum consumption of clothing = $1000 / 25 = 40$

Maximum consumption of food = $1000 / 20 = 50$

OPTIMIZATION: WHAT THE CONSUMER CHOOSES

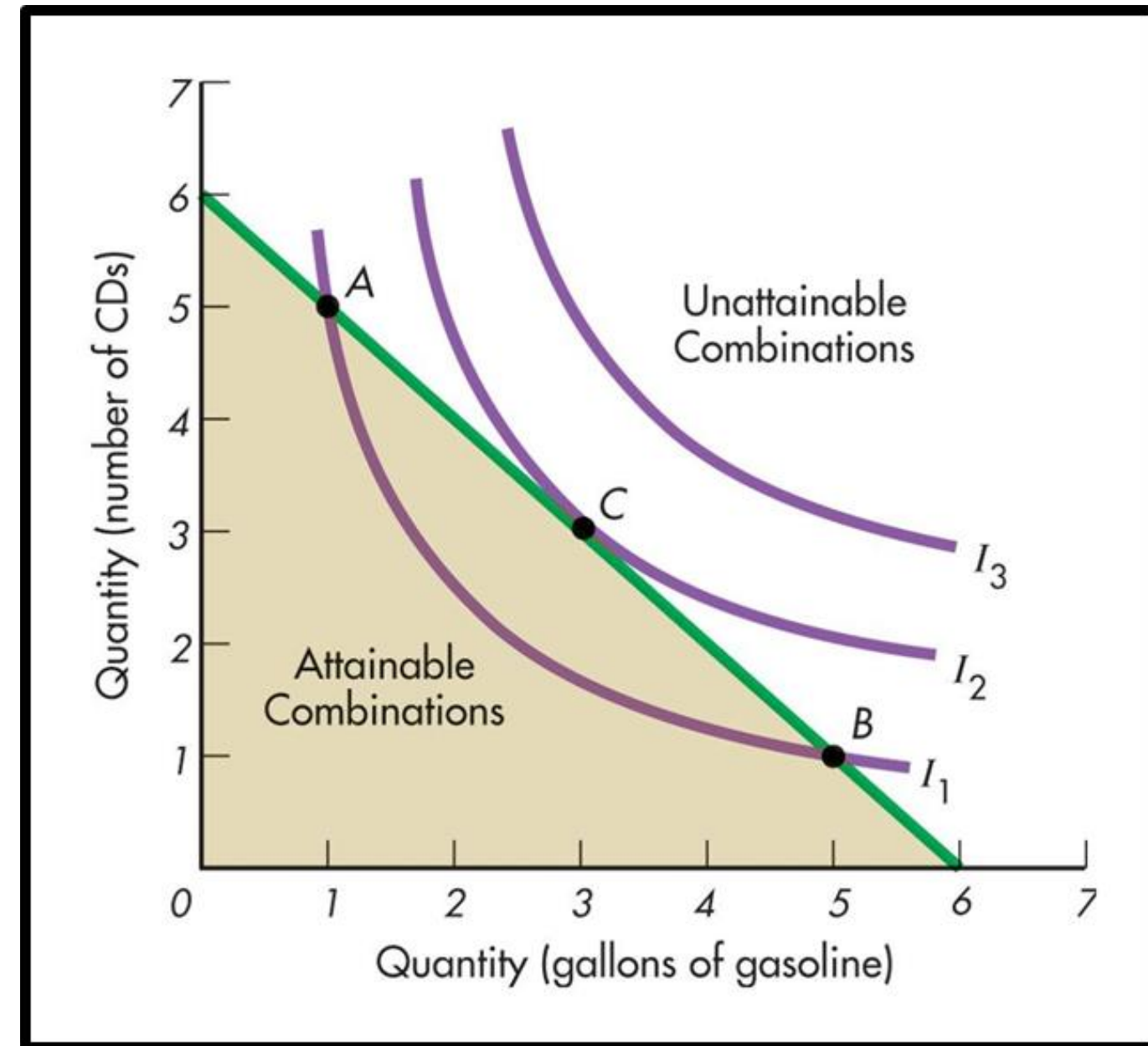
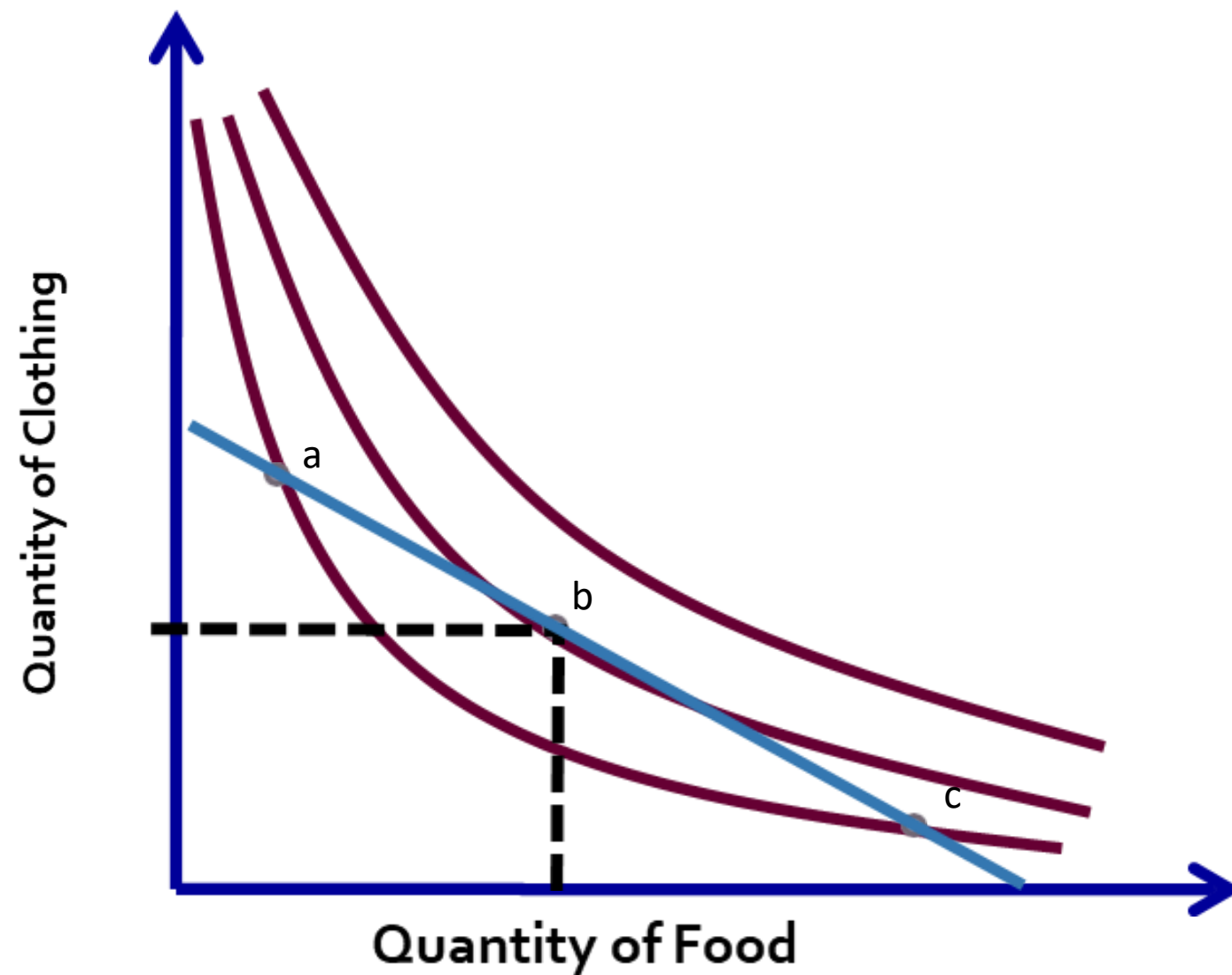
Consumer Equilibrium

- The indifference map in combination with the budget line allows us to determine the one combination of goods and services that the consumer most wants and is able to purchase. This is the consumer equilibrium.

OPTIMIZATION: WHAT THE CONSUMER CHOOSES

Consumer Equilibrium(Cont'd.)

- Since, the consumer is rational, consumer will consume an option where;
Slope BL = Slope IC



The consumer maximizes satisfaction by purchasing the combination of goods that is on the indifference curve farthest from the origin but attainable given the consumer's budget.

FACTORS AFFECTING CONSUMER CHOICES

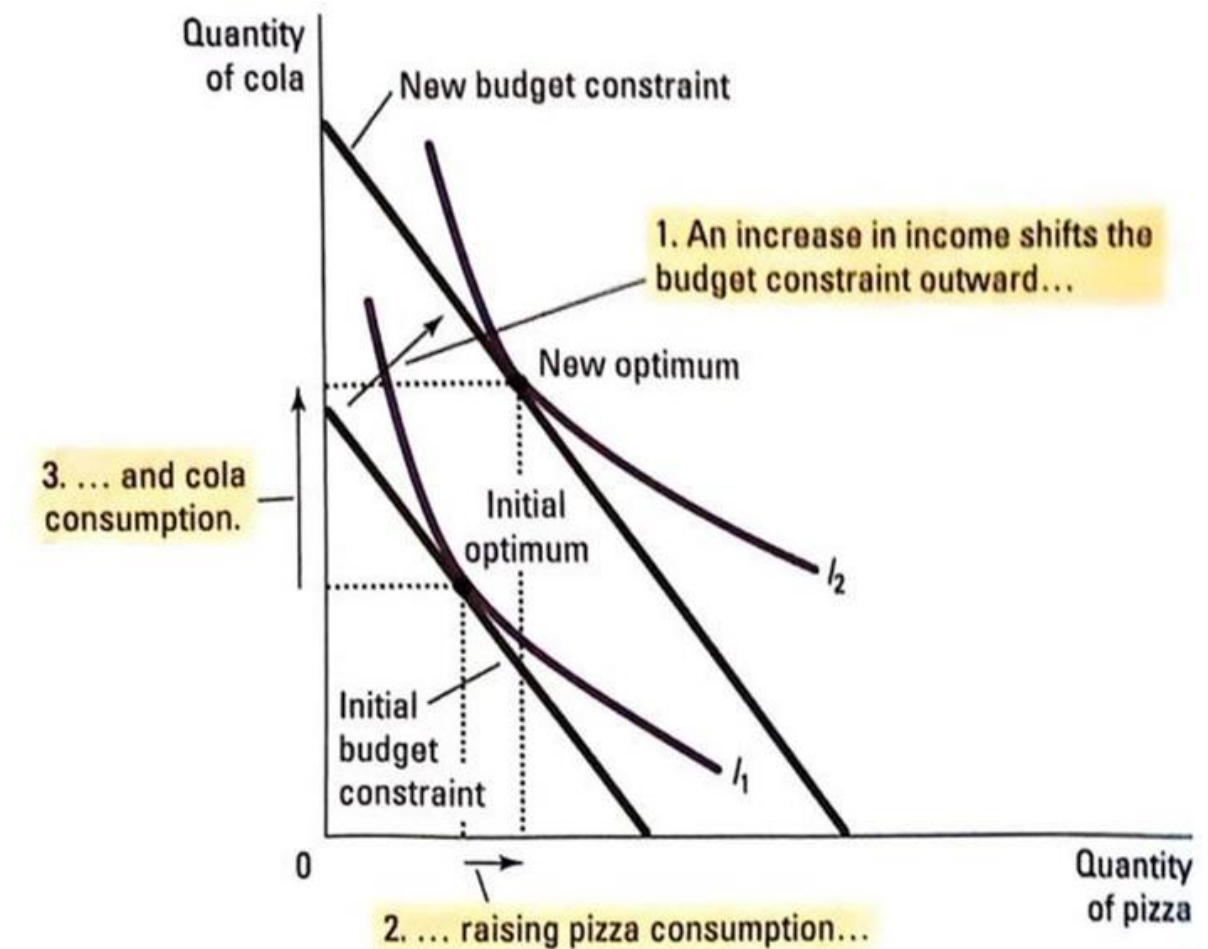
A budget line can change due to:

- Change in income
- Change in price of goods

1. CHANGE IN CONSUMER INCOME

- When income of the consumer changes, purchasing power of him/her also will change.
 - Increase in income → budget line shifts to the right
 - Decrease in income → budget line shifts to the left
- Since, such change in income affects both products, the shifts of the budget line will be parallel.

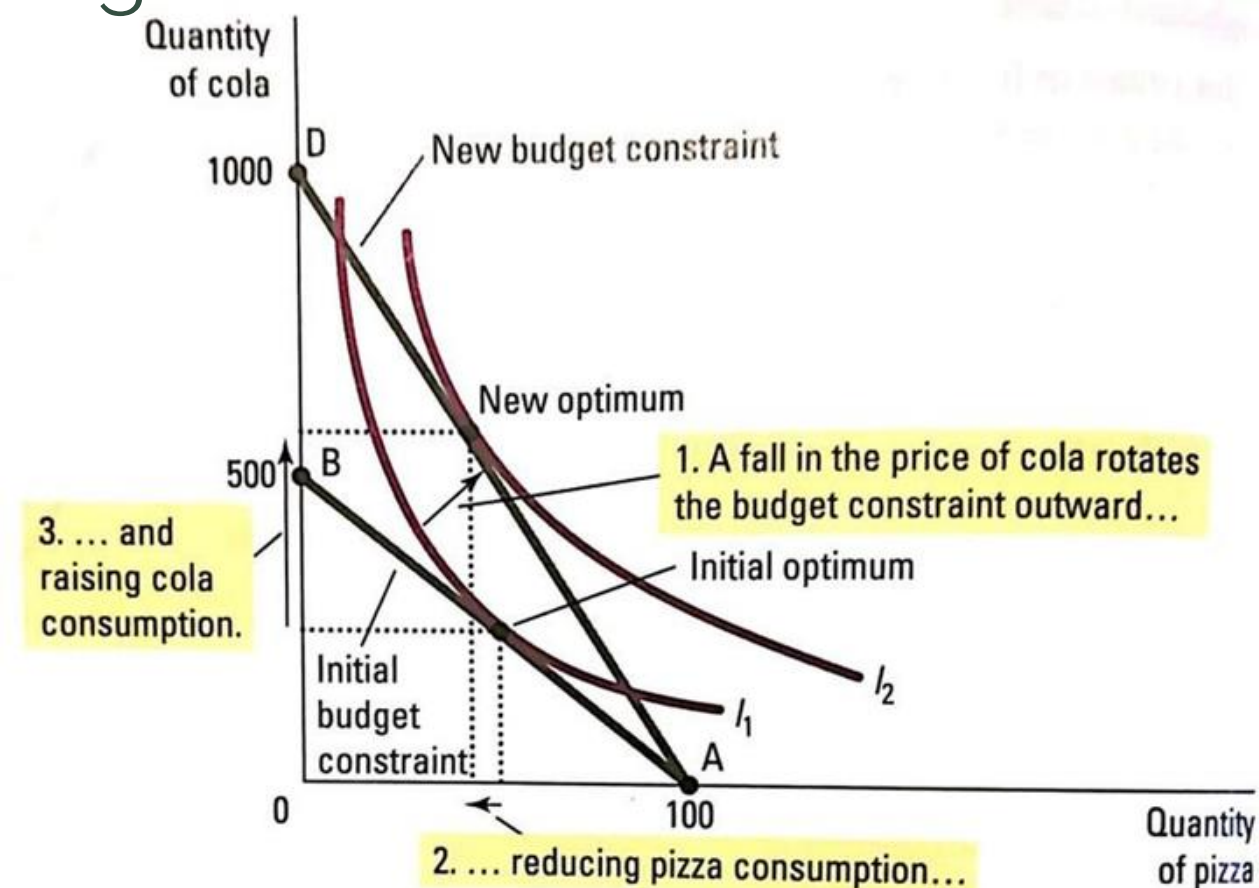
When the consumer's income rises, the budget constraint shifts out. If both goods are normal goods, the consumer responds to the increase in income by buying more of both. Here the consumer buys more pizza and more cola.



2. CHANGE IN PRICE OF GOODS

- When the price of a commodity changes, the ability to purchase that product will also be changed. Thus, the shifts in the budget line will be with respect only to such commodities.
- The end result will be a change in the slope of the budget line.
- When prices of both commodities change proportionally towards the same direction, there will be parallel shift in the budget line.

When the price of cola falls, the consumer's budget constraint pivots outward and changes slope. The consumer moves from the initial optimum to the new optimum, which changes their purchases of both cola and pizza. In this case, the quantity of cola consumed rises and the quantity of pizza consumed falls.



BUSINESS IMPLICATIONS OF CONSUMER BEHAVIOUR

- The standard economic model relies on a set of assumptions with rational human beings at its heart.

- However, study of psychology and economics reveal that human decision making is more complex than is assumed in conventional economic theory; people are not always rational, they use rules of thumb (heuristics) and are influenced by the way in which information is presented (framing effects) which may alter outcomes.

Firms are using these insights to develop their marketing strategies to influence consumer behaviour and increase sales.

- Advertising and branding are two of these areas which are used by firms to influence consumer behaviour

THANK YOU